

May 15, 2026 07:14 AM GMT

Standard Chartered | Asia Pacific

Hong Kong Investor Day - What are we looking for?

Standard Chartered will hold investor presentations in HK and set out its medium term financial targets. We see 11% upside to our TP, but near term valuation not especially cheap vs. peers. Group needs to demonstrate how Asian wealth and corporate banking franchises can deliver superior growth.

Standard Chartered and HSBC are hosting investor days in Hong Kong on the 19-21st May. HSBC outlined their medium term financial goals at their FY25 results (5% YoY revenue growth by 2028, RoTE 17% or better, dividends at 50% of EPS), and we outlined how they can reach a 20% RoTE in a recent note: [HSBC Holdings: A Pathway to 20% ROTE \(12 May 2026\)](#). Standard Chartered are expected to announce their goals next week - below we highlight what is currently in expectations for Standard Chartered from 2026e-2028e.

We expect revenue growth of 5-7% in each year and our revenue forecast is 1% ahead of consensus by 2028e. This compares to 3 year historical revenue CAGR of 6% and 2026e guidance of 5-7% (MSe 6.4%). We expect 6% cost jaws in 2026 (company guidance is for flat costs as they benefit from US\$400m of FFG savings) and 3ppts jaws thereafter. Our cost estimates are in-line with consensus in 2028e. We see US\$14.3bn capital returns 2026e-2028e (US\$3bn share buy back and 30% dividend payout) helping drive RoTE to 15.9% in 2028e (consensus 15.1%). Our RoTE walk suggests pressure on NII from lower rates is more than offset by non NII growth and cost control.

What will we be watching for? A stronger revenue outlook, likely driven by better wealth and corporate banking. Currently we expect wealth invested AUM 2025-2028e CAGR of 15% and net new money of US\$170bn 2026-2028e (2025-2029 targets US\$200bn of NNM). We see stable investment products income as a % of invested AUM. Our Asian macro team have recently highlighted that [Asia is headed towards an industrial super-cycle](#) and we expect this will support Standard Chartered's corporate and FI businesses. We currently forecast 4.2% 2026-2028e revenue CAGR at CCIB, driven by 7% CAGR in markets revenues and 8% CAGR in markets flow business. Key will be the extent this can be delivered in a tight cost environment. We forecast 3% jaws in 2027/8e. A 1% increase in jaws, or revenue CAGR would add 2% to PPoP. Finally, we will focus on any comments on dividend payout. Standard Chartered's yield is low vs. peers - on a 50% p/o (in-line with HSBC) - its yield would be just below.

Valuation: We see 11% upside to TP and believe current PER does not reflect Standard Chartered's growth prospects - however, valuation is not particularly discounted vs peers, so the bank needs to demonstrate its superior growth credentials next week.

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Standard Chartered (2888.HK, 2888 HK)

Hong Kong Financials | Hong Kong

Stock Rating	Overweight
Industry View	In-Line
Price target	HK\$221.00
Up/downside to price target (%)	11
Shr price, close (May 14, 2026)	HK\$199.40
52-Week Range	HK\$206.00-116.40
Sh out, dil, curr (mn)	2,247
Mkt cap, curr (mn)	US\$57,233
Avg daily trading value (mn)	HK\$180

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (US\$)**	1.95	2.27	2.66	3.24
Prior EPS (US\$)**	-	-	-	-
EPS (US\$)§	2.22	2.30	2.70	3.09
ModelWare net inc (US \$ mn)	4,693	5,124	5,672	6,508
P/E	12.4	11.2	9.6	7.9
P/BV	1.2	1.2	1.1	1.0
ROE (%)	10.9	11.4	12.4	14.0
Div yld (%)	2.5	2.7	3.1	3.8
Core tier 1 capital ratio, Basel 3 (%)	14.1	13.5	13.4	13.4

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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What to Expect in Charts

Exhibit 1: Estimates - Standard Chartered (MSe vs. company consensus)

Standard Chartered US\$m	MSe	2026E Cons.*	% Var.	MSe	2027E Cons.*	% Var.	MSe	2028E Cons.*	% Var.
Operating income	22,145	21,951	1%	23,362	23,128	1%	24,991	24,384	2%
Operating expenses ex Bank Levy	(13,162)	(13,206)	0%	(13,480)	(13,193)	2%	(14,052)	(13,611)	3%
Bank Levy	(80)	(100)	-20%	(80)	(100)	-20%	(80)	(100)	-20%
Pre-provision operating profit	8,903	8,645	3%	9,802	9,835	0%	10,859	10,673	2%
Impairments	(882)	(1,087)	-19%	(1,011)	(1,129)	-10%	(1,031)	(1,195)	-14%
Profit from associates	(33)	49	-167%	(10)	50	-120%	12	53	-77%
Pre-tax profit	7,988	7,607	5%	8,781	8,756	0%	9,840	9,531	3%
Balance Sheet \$m									
Loans and advances to customers	297,785	297,900	0%	310,975	309,100	1%	324,781	320,800	1%
Customers deposits	572,574	564,000	2%	606,928	594,300	2%	637,275	622,400	2%
Risk Weighted Assets	268,582	268,200	0%	278,843	278,200	0%	289,506	289,100	0%
Common equity tier 1 capital	36,131	37,000	-2%	37,465	38,700	-3%	38,687	40,600	-5%
Per Share Data									
Statutory basic earnings (cents)	227.4	222.4	2%	266.4	277.0	-4%	323.8	319.8	1%
Dividend (cents)	68.0	68.2	0%	79.0	81.3	-3%	96.0	90.9	6%
Ratios and other key metrics									
Common equity tier 1 ratio (%)	13.5%	13.8%	-2.5%	13.4%	13.9%	-3.3%	13.4%	14.0%	-4.5%
Reported return on tangible equity (%)	13.1%	12.5%	0.6%	14.3%	14.3%	0.0%	15.9%	15.1%	0.8%

Source: Company consensus (Pre 1Q26 result), Morgan Stanley Research estimates

Exhibit 3: Standard Chartered Key Metrics

	2025	2026e	2027e	2028e
Revenue growth (%)	7%	6%	5%	7%
Cost growth (%)	6%	0%	2%	4%
Jaws (%)	1%	6%	3%	3%
EPS growth (%)	33%	20%	17%	22%
CET1	14.1%	13.5%	13.4%	13.4%
Payout ratio (%)	32%	30%	30%	30%
Share buyback (US\$m)	3,000	3,000	3,000	3,000
RoTE	12.0%	13.1%	14.3%	15.9%

Source: Company data, E=Morgan Stanley Research estimates

Exhibit 5: Wealth - Standard Chartered

	2024	2025	2026e	2027e	2028e
Invested Assets (US\$bn)	193	242	278	323	369
YoY growth	64%	25%	15%	16%	14%
NNIA (US\$bn)	21	23.4	32	35	35
as % of prior period invested assets	18%	12%	13%	13%	11%
Investment Return (invested Assets)	46%	13%	2%	4%	4%
Invested product income / avg invested assets (bps)	118	108	109	110	110

Source: Company data, E=Morgan Stanley Research estimates

Exhibit 2: Estimates - Standard Chartered (MSe vs. Visible Alpha consensus)

Standard Chartered US\$m	MSe	2026E Cons.*	% Var.	MSe	2027E Cons.*	% Var.	MSe	2028E Cons.*	% Var.
Operating income	22,145	22,172	0%	23,362	23,316	0%	24,991	24,653	1%
Operating expenses ex Bank Levy	(13,162)	(13,002)	1%	(13,480)	(13,243)	2%	(14,052)	(13,701)	3%
Bank Levy	(80)	(66)	21%	(80)	(80)	0%	(80)	(80)	0%
Pre-provision operating profit	8,903	9,104	-2%	9,802	9,993	-2%	10,859	10,872	0%
Impairments	(882)	(929)	-5%	(1,011)	(1,017)	-1%	(1,031)	(1,041)	-1%
Profit from associates	(33)	(17)	99%	(10)	(10)	3%	12	(6)	-294%
Pre-tax profit	7,988	8,158	-2%	8,781	8,967	-2%	9,840	9,825	0%
Balance Sheet \$m									
Loans and advances to customers	297,785	297,535	0%	310,975	309,344	1%	324,781	321,628	1%
Customers deposits	572,574	562,872	4%	606,928	576,365	5%	637,275	600,850	6%
Risk Weighted Assets	268,582	268,992	0%	278,843	279,209	0%	289,506	283,273	-1%
Common equity tier 1 capital	36,131	36,942	-2%	37,465	38,665	-3%	38,687	40,615	-5%
Per Share Data									
Statutory basic earnings (cents)	227.4	237.0	-4%	266.4	270.0	-1%	323.8	304.0	7%
Dividend (cents)	68.0	69.0	-1%	79.0	81.0	-2%	96.0	95.0	1%
Ratios and other key metrics									
Common equity tier 1 ratio (%)	13.5%	13.7%	-2.1%	13.4%	13.8%	-2.9%	13.4%	13.8%	-3.4%
Reported return on tangible equity (%)	13.1%	13.2%	-0.1%	14.3%	14.2%	0.1%	15.9%	15.1%	0.8%

Source: Visible Alpha, Morgan Stanley Research estimates

Exhibit 4: HSBC Key Metrics

	2025	2026e	2027e	2028e
Revenue growth (%)	5%	5%	3%	5%
Cost growth (%)	2%	3%	3%	3%
Jaws (%)	3%	3%	1%	2%
EPS growth (%)	17%	11%	9%	11%
CET1	14.9%	14.4%	14.5%	14.5%
Payout ratio (%)	50%	50%	50%	50%
Share buyback (US\$m)	6,000	7,000	12,000	12,000
RoTE	17.0%	17.6%	18.2%	19.1%

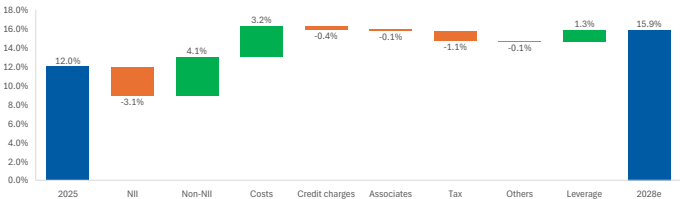
Source: Company data, E=Morgan Stanley Research estimates

Exhibit 6: Standard Chartered FY28 PPop downside/upside vs. base case on different assumptions

	Revenue CAGR (2026e-28e)					
	4%	5%	6%	7%	8%	9%
Cost jaws	0%	-11%	-10%	-8%	-6%	-3%
	1%	-9%	-7%	-5%	-4%	0%
	2%	-6%	-5%	-3%	-1%	3%
	3%	-4%	-2%	0%	2%	5%
	4%	-1%	0%	2%	4%	8%
	5%	1%	3%	5%	7%	10%

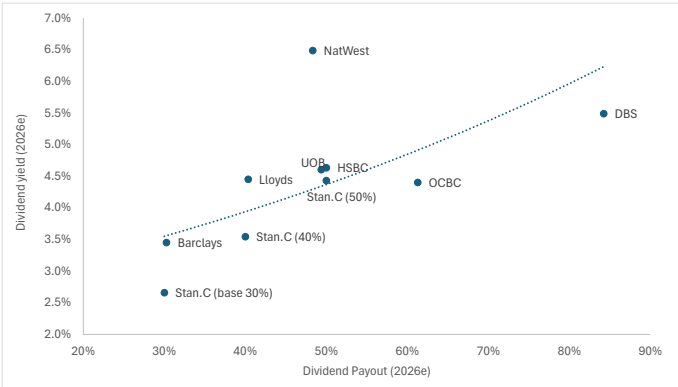
Source: Morgan Stanley Research (E) estimates

Exhibit 7: RoTE walk



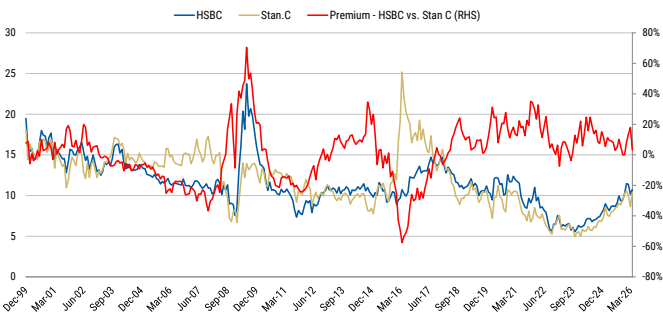
Source: Morgan Stanley Research (E) estimates

Exhibit 8: Div yield vs. Div payout



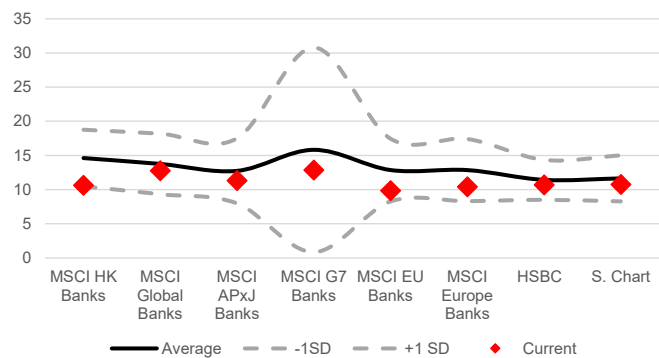
Source: Morgan Stanley Research (E) estimates

Exhibit 9: PER (NTM)



Source: FactSet, Morgan Stanley Research

Exhibit 10: Global Banks PER (1yr forward)



Source: RIMES, Morgan Stanley Research (E) estimates

Exhibit 11: Standard Chartered - 2024-2026 Targets

Guidance: 2024-2026	
Income	- Income to increase 5-7% for 2024-2026; around the top of 5-7% range in 2024 - Net interest income of \$10bn to \$10.25bn in 2024
Expenses (ex. bank levy)	- Positive income-to-cost jaws - Positive income-to-cost jaws in each year - Expenses below \$12bn in 2026 - Expense saves of ~\$1.5bn and cost to achieve of no more than \$1.5bn from Fit for Growth programme
Cost of risk	Continue to expect loan-loss rate to normalise towards the historical through-the-cycle 30-35bps range
Assets and RWA	- Low single-digit percentage growth in L&A to customers and RWA - Low single-digit percentage growth in L&A to customers and RWA (pre Basel 3.1 day-1 impact) - Basel 3.1 day-1 impact, pending clarification of rules, no more than 5% incremental RWA
Capital	- Continue to operate dynamically within the full 13-14% CET1 target range - Plan to return at least \$5bn to shareholders - Continue to increase full-year dividend per share over time
RoTE	RoTE increasing steadily from 10%, targeting 12% in 2026 and to progress thereafter

Source: Standard Chartered

Valuation Methodology and Risks

Standard Chartered (2888.HK)

Gordon Growth model, probability-weighted 20% bull, 75% base, 5% bear (based on the likelihood of different macro outcomes, as well as return and franchise improvements).

Key assumptions:

- Cost of equity: 10% base, 9% bull, 15% bear.
- Return on allocated equity: 10% bull, 10% base, 9% bear
- Terminal growth: 2.5%

The result: target P/Bs 2.3x bull, 1.42x base, 0.51x bear.

Risks to Upside

- Faster-than-expected macroeconomic growth and resilience, causing better-than-expected asset quality
- Better-than-expected non-interest income growth
- Rates trough above 3%
- Bank able to return capital sooner than currently expected

Risks to Downside

- Incremental deterioration in asset quality
- Greater pressure on interest rates
- Asian macro climate deteriorates
- Failure to deliver cost targets

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(as of April 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1546	42%	467	51%	30%	709	44%
Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Standard Chartered (2888.HK) - As of 05/15/26 GMT in HKD
Industry : Hong Kong Financials



Stock Rating History: 5/1/21 : E/C; 10/17/22 : O/I

Price Target History: 1/12/21 : 51; 8/11/21 : 52; 2/16/22 : 58.5; 6/8/22 : 61.8; 10/17/22 : 69.3; 2/17/23 : 79.7; 7/31/23 : 89.1; 10/27/23 : 83.5; 12/12/23 : 86.4; 1/11/24 : 89.4; 2/26/24 : 93.3; 5/3/24 : 99.9; 7/8/24 : 100.4; 8/1/24 : 100; 10/7/24 : 103.2; 10/30/24 : 100.4; 1/4/25 : 108.5; 2/27/25 : 128.3; 4/9/25 : 112; 5/5/25 : 113.1; 5/21/25 : 121.5; 8/1/25 : 158.6; 10/8/25 : 173; 10/31/25 : 176.7; 11/24/25 : 188; 1/13/26 : 222; 3/14/26 : 195; 5/13/26 : 221

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ★ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/14/2026)
Nick Lord		
BOC Hong Kong (2388.HK)	U (01/04/2025)	HK\$46.20
HSBC Holdings (0005.HK)	O (01/13/2026)	HK\$140.50
Standard Chartered (2888.HK)	O (10/17/2022)	HK\$199.40
Richard Xu, CFA		
HK Exchanges & Clearing (0388.HK)	O (02/24/2025)	HK\$423.60

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